

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK LLC.
COMPLAINANT,

V.

SHENZHEN UNIFELIX SCM LIMITED
RESPONDENT.

**RESPONDENT SHENZHEN UNIFELIX SCM LIMITED'S RESPONSE TO
COMPLAINANT'S BRIEF**

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COMES NOW, Respondent, Shenzhen Unifelix SCM Limited (“Unifelix” or “Respondent”), by its respective undersigned counsel, and in compliance with the Revised Scheduling Order, hereby submits its response to Complainant Way Interglobal Network, LLC’s (“Way” or “Complainant”) Brief as follows:

INTRODUCTION

Way’s brief ignores basic prevailing facts in an attempt to paint Unifelix as the offending party in this case. The underlying theme of Way’s arguments is that Unifelix violated the U.S. Shipping Act, 46 U.S.C. § 40101 et al, by forcing the renegotiation of the terms of what Way claims was the governing contract between the parties, referred to as the Transport Contract (“TC”). However, the TC was not a binding contract. It was also not a Negotiated Service Agreement (“NSA”) or a Negotiated Rate Agreement (“NRA”) between the parties. It instead acted as, at best, a memorandum of understanding (“MOU”) to shape future agreements between the parties.

Way however, seeks to take advantage and profit at Unifelix’s expense by purposefully ignoring the unprecedented port and railroad congestion which contributed to the supply chain delays and led railroads to metering shipments from local port areas to major hubs, including Chicago, exacerbating what would be an otherwise straightforward process in ordinary times.

Way also ignores the fact that there was a large backlog of containers at the ports and railyards in California and Illinois during the time of the shipments. Railroads limited and restricted the flow of inbound containers into Chicago until they cleared space on their respective terminals to allow for pickup of import loads which had spent a considerable amount of time incurring demurrage charges thus impacting fluidity at these facilities. As a result, containers for Way and thousands of other importers containers remained in limbo as the railroads were overwhelmed and far exceeded their capacity to operate what is generally a wheeled operation. However, due to extenuating circumstances and unprecedented volumes the railroads were ill equipped to operate grounded operations that they were forced into as they lacked both equipment, manpower and a sufficient chassis supply provided by external intermodal equipment providers (IEPs). This resulted in import containers being unavailable for pickup even though they had both the necessary criteria for pickup with releases from CBP and the steamship line.

During the time of the disputed 20 shipments, there were another 46 containers that had already arrived in the U.S. but had been held up in transit, thus delaying delivery. Even after delivery, Way refused to pay the outstanding freight after the seven days provided for under the transport terms. These delays caused incredible financial strain on Unifelix as additional shipments continued to ship from China and arrive in the U.S., and shipping lines/VOCCs were pressuring Unifelix to pay the outstanding balances or risk being shut out from making future bookings due to nonpayment.

Due to Way's failure to pay and the delays caused by significant port congestion, Unifelix simply could not continue to deliver cargo to Way's warehouse and obtaining payment after delivery. Way complains that Unifelix's "mismanagement of its cashflow" caused the problems (Way's Brief, p. 40) as if Unifelix had infinite funds or credit. Due to the circumstances that were in part created by Way's actions, Unifelix was forced to adjust as to the incoming containers. Way eventually agreed to the terms.

Way's brief ignores these points and pretends that Unifelix was acting unreasonably rather than trying to salvage an otherwise unmanageable situation. Unifelix was faced with a large number of shipments, uncontrollable port and rail delays and a customer that refused to pay promptly.

Additionally, Way glosses over the fact that it had received notice and opportunity to pick up its containers before the last free day but failed to do so, thus incurring the demurrage charges that it now seeks to avoid.

Way also tries to imply that Unifelix was charging unreasonable rates or fees, such as allegedly charging excess freight charges, demurrage, detention and port congestion fees, while ignoring the fact that fees were generated by the shipping lines, not Unifelix, and are considered to be valid pass-through charges outside the control of the NVOCC. Way only paid a small fraction of the demurrage that was incurred during this timeframe, with Unifelix paying many times the demurrage incurred as Way. Way's claim that Unifelix inflated ocean freight charges also highlights Way's duplicitous efforts in this matter. Perhaps most concerning, Way's claim for damages

apparently seeks to get reimbursed for its freight costs on other shipments so as to obtain its transportation free of charge.

RESPONSE TO WAY'S PROPOSED FINDINGS OF FACT

See the concurrently filed separate response to Way's proposed findings of fact.

UNIFELIX'S PROPOSED FINDINGS OF FACT

1. Way shipped 46 containers with Unifelix from China and arriving at Way's warehouse in Illinois between May 26 and July 11, 2022. (Decl. of R. Huang ¶¶6-8)

2. Total sea freight for the 46 containers was \$702,560, and truck delivery charges were \$118,407, less a payment of \$74,350, which brought the total amount of transportation costs incurred but unpaid by Way as of August 22, 2022, to \$746,617. At that time, all of those payments were overdue, with some as many as 50 days late. (Decl. of R. Huang ¶9)

3. Any actual problems with Unifelix's invoices or documentation on the shipments other than to demand a reduction. (Decl. of R. Huang; Email chain between Way and Unifelix)

4. Way initially did not respond to invoices or repeated emails seeking payment, but, in the end, paid the invoices less a discount that it demanded with no legitimate explanation. (Decl. of R. Huang ¶18; Email chain between Way and Unifelix SHENZHEN 441)

5. Due to the unforeseen and uncontrollable delays caused by port congestion and the large amount owed by Way due to its late payments, Unifelix lacked sufficient cash and credit to pay the VOCCs and trucking companies to transport an additional 104 containers of Way's cargo, including the 20 at issue in Way's complaint. (R. Huang Decl. ¶10)

6. All containers were transported under Unifelix's house bills of lading. (Decl. of R. Huang ¶13; Decl. of G. Kardian ¶¶9-11)

7. The 20 containers at issue in this matter are TCNU6557513, TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TCNU6134091, TGBU9704789, TXGU7117086, TXGU7120114, CLHU8963040, FANUI742269, TXGU7119812, TXGU7120330, TXGU7118550, BEAU4986763, UACU5979959, TXGU7118415, TXGU7120120, and TCNU6756449 (the "20 Containers"). (Way's Complaint)

8. Therefore, Unifelix negotiated with Way to have Way's payment for ocean freight made prior to delivery for the remaining shipments, and for Way to contract with the drayage companies to pick up the containers from the railyards for delivery to Way's warehouse. (Decl. of R. Huang ¶¶14-16; Email chain between Way and Unifelix, SHENZHEN 435-45)

9. These terms were negotiated in emails and over Zoom and telephone calls between July 19 and July 26, 2022, during which Unifelix explained the changes were necessitated due to the extreme financial stress caused by Way's failure to

timely pay. (Decl. of R. Huang ¶¶6-15; Email chain between Way and Unifelix, SHENZHEN 437)

10. During that time, Unifelix also repeatedly notified Way that demurrage was accruing on its cargo, including the 20 Containers, and that immediate payment of the ocean freight should be made so that Way could pick up the cargo before the demurrage accumulated. (Decl. of R. Huang; Email chain between Way and Unifelix)

11. Under this agreement, Way agreed to arrange and pay for the local trucking for the shipments directly, and for Way to pay Unifelix the ocean freight prior to delivery. The freight rates for ocean shipment remained unchanged. (Decl. of R. Huang ¶15)

12. These changes were necessitated by Way's prior breach of contract, which, in combination with the port congestion, both of which put Unifelix in a financial position that it could not carry the debt for the ocean freight for the entire voyage or prepay trucking companies for local delivery of Way's cargo. (Decl. of R. Huang 10-14)

13. In addition to the financial pressure caused by port congestion and Way's failure to pay on time, Way stopped responding to communications at the time, which forced Unifelix to contact the shippers/Way's suppliers to obtain payment for the ocean freight incurred to ship Way's cargo. No false or defamatory statements were made in those communications about Way. (Decl. of R. Huang ¶11)

14. After the terms of delivery were renegotiated, Way took the necessary steps to have the 20 containers picked up from the railyard and taken to its warehouse. (Decl. of R. Huang ¶17)

15. Notices of arrival for the 20 containers was provided prior to the last free day for each of those containers, including the two containers identified by Way as allegedly having late notices of arrival, FANU1742269 and TXGU7118415. (Decl. of R. Huang ¶20; Emails between Unifelix and Way)

16. Any demurrage incurred due to delay in arranging the pickup of the 20 containers was solely the fault of Way. (Decl. of R. Huang; Decl. of G. Kardian)

ARGUMENT

I. Unifelix's actions did not violate 46 U.S.C. §41102(c)&(d)

Section 41102 of the Shipping Act contains general prohibitions, including requiring just and reasonable practices relating to receiving, handling, storing and delivery of property (§41102(c)), and prohibiting retaliation and other discriminatory actions (§41102 (d)). Neither are applicable to the facts of this case.

Way alleges that Unifelix held “the cargo hostage” despite the fact that Unifelix was just adhering to the terms of contract governing the delivery of the cargo. The only terms that changed from how the initial 46 containers were handled was that instead of Unifelix arranging and paying the truckers for transport to Way’s warehouse and then billing Way for those services after delivery, Way paid the

truckers directly. Way also had to pay the ocean freight prior to the release of the cargo instead of after the cargo was delivered to Way's warehouse.

Way has argued that the terms of the contract were improperly changed after the cargo was underway. This is incorrect. While the initial 20 containers were delivered directly to Way's warehouse and Unifelix did not try to collect ocean freight until after delivery, this was not done pursuant to a binding contract. Once Way failed to pay promptly upon demand, Unifelix reasonably refused to extend itself beyond the contractually mandated terms. It therefore then insisted on payment before delivery, and insisted that Way arrange its own trucking.

Way also complains that it had to pay demurrage due to alleged late arrival notice on two containers, Containers FANU1742269 and TXGU7118415. However, notice of arrival was provided on those containers prior to the last free day. (Declaration of R. Huang; Emails between Unifelix and Way.)

The payment of the ocean freight prior to the release of the cargo was part of the terms of the shipment as agreed by both parties, and therefore requiring payment of ocean freight prior to their release was appropriate. In that the ocean freight was not paid until September 14, 2022, any release of the cargo prior to that time would have been inconsistent with the terms of the applicable contract.

Way's brief cites to cases for the proposition that a carrier should not withhold shipments for debts on unrelated earlier shipments.

...if a shipper or consignee induces the carrier to surrender the cargo and thus lose its lien, and thereafter refuses to pay the lawful freight money owed because the shipper or consignee has outstanding disputes with the carrier on **earlier unrelated shipments**, and withholds payment of the lawful freight as a means to coerce the carrier to settle the disputes on **earlier unrelated shipments**, the shipper or consignee has acted unlawfully...” *Tianshan, Inc. v Tianjin Hua Feng Transport Agency*, 2011 FMC LEXIS 9, 40-41 (Docket No. 08-04, March 9, 2011) (quoting *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l, Inc.* 29 S.R.R. 1348, 1356 n. 14 (ALJ 2003).)

However, those cases can be distinguished because they involved a carrier seeking to exert a lien on “earlier unrelated shipments” (Id.), and Way has not submitted any evidence to suggest that the other shipments in this current action were either earlier or unrelated. Here, the shipments were contemporaneous and were transported by Unifelix under the same arrangement with Way. Indeed, they were all in the railyards at the same time, and Way was trying to extricate the various containers at the same time. More importantly, there is no evidence submitted to suggest that Way had “induce[d] the carrier to surrender the cargo and thus lose its lien...” Id.

Petra Pet, Inc. v Panda Logistics Ltd., Panda Logistics Co. Ltd, and RDM Solutions, 33 S.R.R. 4 (F.M.C. 2013) is also distinguishable in that the carrier in that case diverted seven containers back to China, failed to give notice as to the

whereabouts of the cargo, and was withholding delivery based upon an earlier shipment. Here, none of those factors apply.

Way properly cites to the Commission's prior findings that the test for determining whether there is a violation of this section is reasonableness, and that the carrier's actions must be lawful, not excessive and reasonably related. *Kawasaki Kisen Kaisha Ltd. V. Port Authority of New York and New Jersey*, 2014 FMC LEXIS 36. (Docket 11-12). Here, Unifelix's actions were eminently reasonable, lawful and reasonably related considering the number of containers, the amount of demurrage at stake and Way's prior failure to pay. Unifelix was facing an existential threat to its business, and therefore took necessary and reasonable steps to exercise its lien to ensure Way paid its debts.

Way complains that Unifelix also acted unreasonably by not arranging drayage. However, there was no enforceable contract requiring Unifelix to arrange that drayage since the TC is not an enforceable contract. The TC is best described as a memorandum of understanding (MOU) since it lacks the requisite terms to satisfy the requirements under 46 CFR § 531.6 as an NVOCC Service Arrangement ("NSA"). This is because it does not include the prerequisite terms, such as identifying the commodity or commodities involved (§531.6(a)(3)), the minimum volume (§531.6 (a)(4)), the service commitments (§531.6 (a)(5)), the line-haul rate (§531.6 (a)(6)), or the liquidated damages (§531.6 (a)(7)). Instead, the plain language of the TC calls for the parties to submit those necessary terms via additional documentation in the form of a Booking Note. (Complainant's Appendix CX 1).

The contracts that do apply are the house bills of lading (HBL). These HBL call for CY-CY shipments, with delivery to be made at the railyards in Chicago and Joliet. (See Decl. of G. Kardian, ¶ 4-11, Complainant’s Appendix CX 135, 270, 340, 402, 670, 513, 553, 778, 898, 978, 1390.) As a result, Unifelix had no contractual obligation to provide trucking to Way’s warehouse, and it therefore acted reasonable in not arranging and paying for that final leg.

Further arguments are raised by Way complaining that the demurrage and port congestion fees charged by the shipping lines and passed through to Way were not “intended primary purposes as financial incentives to promote freight fluidity under 46 CFR §545.5(c)(1).” As Way is not doubt aware, those fees were not invented by Unifelix to make money on this transaction. They were charged by the shipping lines, and Unifelix had no ability to prevent those fees from being imposed.

Way’s claim that Unifelix failed to provide proper notice as to two containers is not supported by the record. Notification was provided as to all containers prior to their last free day. (Decl. of R. Huang, Emails to Way)

The final argument is that Unifelix violated the shipping act by “conflating ocean freight and demurage charges. This is obviously incorrect in that the ocean freight was known and invoiced from the beginning of this case, and the demurrage only started accruing when Way failed to pick up its cargo. Way cites to *Baklerly, LLC v. Seafigo USA Inc.*, 2023 FMC LEXIS 290, 31-32 (June 14, 2023) to support its position, but that case involved a party that had an ongoing history of double billing its customers, and there was a genuine possibility of confusion. Here, Unifelix had

clearly charged its ocean freight from the beginning, and Way had actually paid those charges in order obtain the release of its cargo. Meanwhile the demurrage was being charged by third party shipping lines, not Unifelix. There was and is no opportunity for conflation under those circumstances.

II. Unifelix’s actions did not violate 46 U.S.C. §41103(a)(1)

Way next attempts to rely upon §41103(a)(1), which prohibits disclosing very specific information regarding shipments without permission of the shipper or consignee:

A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive **any information concerning the nature, kind, quantity, destination, consignee, or routing of any property** tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information—

(1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier” (Emphasis added.)

Here, there is no credible allegation that Unifelix violated this section. No information was disclosed regarding the “nature, kind, quantity, destination, consignee, or routing of any property” that was tendered to Unifelix. Rather, the allegation is that Unifelix informed Way’s suppliers that Way was not paying its

bills for shipping charges on the initial 46 containers that had arrived in July, 2022. Because the suppliers were the shippers of the cargo, they had potential liability to the carriers for Way's unpaid invoices. Notification was not only permitted under this code section it was reasonable and appropriate under the circumstances.

Way also complains that the disclosures were false, yet Way has not put forward evidence to suggest that it had paid the invoices at the time of the disclosures.

III. Unifelix's action did not violate 46 U.S.C. §41104(a)(10)

Way's next argument is that Unifelix violated §41104(a)(10), which prohibits carriers from refusing to deal or negotiate:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

...

(10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier;

To support this allegation, Way argues that because Unifelix did not “fulfill its remaining obligations”, it failed to deal with Way in good faith. However, as discussed above, Unifelix had no obligation to arrange trucking to Way's warehouse since the TC is not a binding agreement. Instead, the shipments were governed by the HBL, which called for CY-CY shipment to the railyards in Chicago and Joliet.

Way cites to *OJ Commerce v. Hamburg Sudamerikanische et al*, 6 FMC 2nd 165 (June 7, 2023) to support its position. In that case, the respondent allegedly refused to do any further business with the complainant after it had threatened to take respondent to the FMC. The Commission found that while carriers are not obligated to do business with everyone that comes through their door, they cannot refuse to deal “for reasons having no relation to legitimate transportation-related factors and from retaliating against shippers.” Here, as discussed, there was no contractual obligation to arrange delivery to Way’s warehouse. Unifelix also had a legitimate, transportation related concern about doing further business with Way because it failed to pay its freight bills on time. This is a legitimate concern that is related to transportation.

IV. Unifelix’s actions were not a breach of the Transport Contract

Way next tries to exert supplemental jurisdiction over its contractual claim against Unifelix. However, in that Way’s contractual claim is based upon an unenforceable memorandum of understanding, Unifelix would argue that exercising supplemental jurisdiction over a non-existent claim would not be a productive use this the Commission’s resources.

The TC fails as a contract in that it lacks consideration. No money was paid by either party upon its execution, and neither party was bound to perform any action under its terms. There were also no essential promises of performance in the contract since all terms were to be provided in subsequent agreements in the form of Booking

Notes. (Complainant's Appendix CX 1) Nor has Way alleged a claim for breach of contract under the terms of the Unifelix HBLs.

In that Way has not articulated a viable contractual claim, there is no reason for the Commission to exercise its discretion to exert supplemental jurisdiction over Way's contract claim.

V. Complainant's claim for damages is not supported by the evidence or the law

Way's argument for damages fails for several reasons, the primary of which is that it is essentially seeking to obtain free transportation charges. Way seeks to recover the cost of the trucking from the railyards to its warehouse. However, as discussed, those delivery fees were going to be paid by Way either directly to the trucking company, or indirectly through Unifelix. To reimburse Way for those fees would give Way free transportation for 20 containers from Illinois across state lines to Elkhart Indiana.

Way also raises the argument that it suffered customer relation damages with its suppliers, yet it provides no way or basis as to how the Commission could calculate those damages. Any award of such damages would be entirely speculative.

Way's claim for damages related to the exercise of Unifelix's lien is also not supported by the law or the facts. In that the shipments giving rise to the lien were not "earlier" or "unrelated," and in that Unifelix had not released an earlier lien, there is no claim of improper withholding of the delivery of cargo. The demurrage was

incurred by Way due to its slow payment of the freight charges, and failure to promptly pick up its cargo before demurrage began to accrue. All claimed damages were avoidable by Way if it had honored its obligations.

ATTORNEYS' FEES AND COSTS

Upon prevailing against Complainant on its claims, Respondent will submit a petition, pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254, for the award of its attorneys' fees and costs against Complainant.

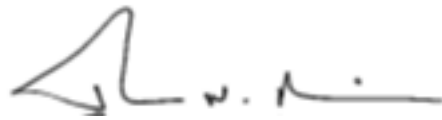
CONCLUSION

For all of the foregoing reasons, Shenzhen Unifelix SCM Limited, respectfully seeks the dismissal of this proceeding, a reservation for an award of attorneys' fees and costs, and any other relief deemed just and proper.

Dated this 6th day of October 2023

Respectfully submitted,

By:



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CERTIFICATE OF SERVICE

I hereby certify that on the 6th day of October 2023, I served the foregoing **RESPONDENT SHENZHEN UNIFELIX SCM LIMITED'S RESPONSE TO COMPLAINANT'S BRIEF** on the parties listed below by email.

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